Trade marks

The country of Iceland freezes out the eponymous supermarket: ICELAND trade marks invalidated

The Icelandic Ministry for Foreign Affairs and Others v Iceland Foods Limited, EUIPO Cancellation No 14 030 C (Invalidity), 5 April 2019; *Icelandic Trade mark Holding ehf v Iceland Foods Limited*, EUIPO Cancellation No. 19 387 C (Invalidity), 27 May 2019

Iceland Foods' European Union trade marks for ICELAND were held invalid for all goods and services in a duo of recent decisions from the European Union Intellectual Property Office Cancellation Division, after The Icelandic Ministry for Foreign Affairs successfully argued that the exclusive rights conferred on the food and beverage retail giant unfairly monopolized what is, of course, the name of a country in the European Economic Area.

Legal context

The applicants invoked Article 59(1)(a) of the European Union (EU) Trade Mark Regulation 2017/1001 (EUTMR) in conjunction with Articles 7(1)(b), (c) and (g) EUTMR, seeking invalidity of Iceland Foods' ICELAND word mark and logo. The absolute grounds for invalidity in Article 59(1)(a) EUTMR provide that an EU trade mark (EUTM) shall be declared invalid where it is registered contrary to the provisions of Article 7 EUTMR. Those prevent registrations of signs that are devoid of distinctive character; consist of signs that serve to designate geographical origin; and/or could deceive the public as to the geographical origin of the goods or services for which the EUTM is registered.

Facts

Iceland Foods Limited is the company behind one of the UK's largest supermarket chains. It is also the registered EUTM proprietor of the word mark ICELAND and its recognizable red to yellow graduated logo, which cover a range of goods and services, including food products, electrical goods and retail services. The applicants, in separate invalidity proceedings challenging each of the two EUTMs, included The Icelandic Ministry of Foreign Affairs. They challenged Iceland Foods' registrations primarily on the basis that 'Iceland' is a designation of geographical origin and therefore not registrable.

The applicants claimed that Iceland Foods had filed multiple oppositions against other EUTMs containing the word 'ICELAND', where the word was being used to designate a geographical indication and was the home country of the applicants. They claimed that this was a clear indication that the EUTM proprietor intended to thwart the legitimate trade of Icelandic entities, by preventing them from referring to the geographical origin, and home country, of their goods and services.

The two invalidity proceedings relied on similar arguments.

Analysis

There was nothing unexpected in the arguments the applicants put forward to support invalidation of the EUTMs:

- The mark ICELAND has positive connotations in the minds of consumers in Europe owing to it being an exotic and adventurous location.
- Extensive trade with the EU Member States means that 'Iceland', when used in relation to goods sold within the EU, would be considered merely an indication of the quality of the goods and/or an indication of their geographical origin.
- ICELAND is a basic English word which will be widely understood by consumers as referring to a well-known country, and nothing further.

The applicants argued that the issue was one of balance within the EUTM system: permitting fair competition while safeguarding the right of the public of a country to use that country's name to describe their goods and services on the single market. The name of a country should not be registered: it should be free for all undertakings to use.

Iceland Foods countered that:

- 'ICELAND' would only be understood in countries where English is the native language, since 'Iceland' is spelt differently in other languages, eg 'Islande' in French and 'IJsland' in Dutch;
- the applicants' observations did exaggerate or misrepresent the reputation of Iceland as a source for goods and services: the geographical name has a narrow reputation, so that the potential for competitive impact of the contested EUTMs would be speculative; and
- it is highly unlikely that consumers would be deceived as to the origin of goods and services bearing the ICELAND marks.

In reaching its decision to invalidate both marks, the Cancellation Division took into account whether (i) the goods and services for which the EUTMs were registered were being produced in Iceland, and (ii) it was reasonable to assume that Iceland would in the future be associated with the category of goods and services concerned, which in turn required an assessment of the level of public awareness of Iceland and the characteristics of the country from an economic perspective.

The Cancellation Division found that the applicants had not demonstrated a particular reputation for the goods at issue, but had succeeded in demonstrating that a significant amount of those goods were produced in and exported from Iceland to countries in the EU.

Furthermore, for goods which were not currently produced in Iceland, the Cancellation Division considered it reasonable to assume that Iceland might be associated with those goods in the future, taking into account its healthy economy and pipeline manufacturing opportunities. The Cancellation Division also noted that the English word 'ICELAND' would be understood by the native English-speakers in the EU as well as those with 'sufficient knowledge' of the English language (such as in Scandinavian countries), and that events like the 2010 eruptions of the Eyjafjallajökull volcano and the 2008 Icelandic banking collapse have served to increase public awareness of the country (evidently, not all bad news is bad news from a trade mark perspective).

It is worth noting that it was open to Iceland Foods to show that its marks had acquired distinctiveness through use, and that this could overcome at least some of the applicants' objections. While it did submit some such evidence, no evidence was included for at least four EU countries, leading to European Union Intellectual Property Office (EUIPO) to conclude that Iceland Foods had not met the acquired distinctiveness burden.

Both EUTMs were therefore declared invalid for all the contested goods and services.

Practical significance

The findings of the Cancellation Division serve as a reminder that it is undeniably in the public interest for signs designating geographical origin to remain available, recognizing their unique capacity to influence consumer choice, and capturing the zeitgeist in the retail trade to indicate the geographical origin of foodstuffs and beverages. The World Intellectual Property Organization's Standing Committee on the Law of Trademarks, Industrial Designs and Geographical Indications (SC) endorses this protective stance, reiterating at its 41st session in April 2019 the SC's commitment to the protection of country names as a fundamental issue.

In the UK, the ICELAND name is very well known indeed, and the authors doubt that very many consumers have ever fallen into the trap of assuming that the supermarket got all its goods from the country. But the EUTM system looks at the position across the EU, including to countries in which Iceland Foods has never traded.

We have not yet had the final word—Iceland Foods has appealed both decisions to the EUIPO Board of Appeal.

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Appointed Person rejects appeal that two *DG* decisions are inconsistent

DG FASHION [2019] 4 WLUK 487

The Applicant has failed in its bid to register the word mark 'DG Fashion'.

Legal context and facts

The Applicant, Cherryandjerry Limited, applied for the registration of the word mark 'DG Fashion' as a UK trade mark for all goods in Class 25. The application was opposed by two registered holders of the trade mark DG in respect of goods in Class 25. The first Opponent, Douglas & Grahame Limited had registered two 'DG's' marks as well as four marks comprised of 'DG's' and 'DG'. The opposition was based on section 5(2)(b) of the Trade Marks Act 1994 ('the Act').

The second Opponent, Dolce & Gabbana Trade marks SRL, had a registered European Union trade mark 'D&G' and an International Registration (UK) trade mark 'DG'. It opposed registration under sections 5(2)(b), 5(3) and 5(4)(a) (passing off) of the Act.

The Applicant subjected both Opponents to proof of use of their marks under section 6A of the Act. As such, the Applicant was able to provide some evidence in both oppositions of the other Opponent's registered marks as well as third-party DG marks that had not opposed the Applicant's registration. In both oppositions, the Applicant argued that, bearing in mind the evidence of use of the various DG marks on the fashion market and the lack of any evidence of confusion between them, the DG element had a low level of distinctiveness.

The Applicant's argument failed. In the *Douglas & Grahame* decision (O-322-18, 31 May 2018), the Hearing Officer found that, for the purposes of section 5(2)(b) of the Act, the DG mark was distinctive of Douglas & Grahame's undertaking and the Applicant failed to register DG Fashion except for paper clothing and paper aprons. The evidence provided by the Applicant that Dolce & Gabbana, along with other third parties, were all also using similar DG marks on the fashion market was found to be insufficient. Dolce & Gabbana were then asked whether they wished to proceed with their opposition against the registration of DG Fashion for paper clothing and paper aprons alone. They decided to proceed. This second